

Google Checkout

When shopping online, going through the routine of filling up a registration form and getting a Demand Draft or cheque issued is painful. An online payment system eliminates the need for that routine. When registering for such a service, you provide information regarding yourself and your bank account or credit card to the service provider. The next time you shop online, you only need to log in to your online payment account, and you are taken to the payment provider's site to confirm the payment. The merchant and the service provider do the rest behind the scenes. The product also gets on its way to you faster.

Online payment systems usually charge the merchant transaction fees, which include a fixed charge and a percentage of the transaction value. In return, by including an online payment system on their site, merchants can hope to attract people who prefer the convenience of such payment process systems.

The present king of the hill by far in this market is PayPal, now an eBay subsidiary. Google's foray into this market is Checkout.

Google Checkout (GCK) was touted to be a "PayPal killer," but is considerably limited in its array of services. Unlike PayPal, GCK only caters to individual-to-business transactions. The service is not yet available in India.